OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Letter to Cr Casmiri on CL26.193 rent clause hitting Noah's, youth service, Safe Shelter

Sent 21 August 2026 · To Cr Casmiri · Response requested by 11 September 2026

Ordinary Meeting, Shoalhaven City Council, Tuesday 25 August 2026
Steve Prothero · Eye on Shoalhaven Council · 21 August 2026

Dear Cr Casmiri,

This is an open letter. It will be published at steveprothero.substack.com and in the Eye on Shoalhaven Council group, and whatever you send back will be published in full and unedited. If you send nothing, that will be recorded too, plainly and without comment.

I want to be careful about what I am saying and what I am not. I make no allegation of impropriety against you. Your stated purpose — that councillors and ratepayers should know what support ratepayers give community organisations — is a good purpose, and part 1 of your motion serves it. I will argue below that it should go further, and I will back it if it does.

Part 2 is a different thing, and I am going to use a plain word about it.

The word is mean

Not mean-spirited about you. Mean in what it does.

Part 2 asks that every new subsidised or statutory-minimum agreement carry a condition: "if or when the organisation receives State or Federal financial support the rent payable will revert to a commercial rate amount."

That is not a test of what a group can afford. It is not a test of whether it trades commercially. It is a test of whether somebody else has given it money. And once you sort community tenants that way, look at who ends up on each side of the line.

Captured: Noah's Inclusion Services at 158 Green Street, Ulladulla — an NDIS-registered provider of speech pathology, occupational therapy and early childhood support, whose most recent reported expenses exceed its revenue. The Nowra youth service. Safe Shelter, run by Salt Care. Preschools drawing state funding. And read literally, the surf lifesaving clubs and emergency services organisations that Council's own policy POL25/49 places on statutory minimum rent, because the RFS, the SES and Marine Rescue exist on government money.

Not captured: the pony club on $613 a year, plus roughly $3,200 a year in waived rates. The tennis club at Kangaroo Valley on $609. Two croquet clubs on discounted or statutory-minimum arrangements. A craft gallery holding a two-storey heritage house in Berry for

about $258 a week. None of them, on the public record, receives state or federal support. Not one of them is touched by your motion.

So the rule takes more from the organisations carrying disability therapy, crisis accommodation and young people, and leaves recreational clubs exactly where they are. That is what the word means.

There is a second thing in it. A grant is money given to do work. Under part 2, the moment a Shoalhaven organisation succeeds in bringing state or federal money into this city, Council takes a share of it back through the lease. The rational response for a small organisation is to stop applying. A rule that makes it financially safer not to seek funding is a strange thing for a council complaining about a lack of funding to adopt.

Which brings me to the third thing. Four weeks ago the Mayor told ABC Illawarra: "We get no support, no subsidies from the state or federal government in helping us maintain these facilities." Your motion's answer to that complaint is that when the state or the Commonwealth does put money into a Shoalhaven service, Council should take it as rent. Both positions cannot be the argument at the same time.

No other NSW council does this

Eleven leasing and licensing policies across eight NSW councils were read in full for this. Not one makes a government grant a trigger for commercial rent.

The City of Newcastle reduces subsidy only where a tenant makes "Financial Gain," defined as revenue "for the provision of goods and services commercially available" — grants deliberately excluded. Coffs Harbour, which runs the most formulaic rental model in the state, does the opposite of your motion: it scores a group with "no ability to raise revenue and charge fees, and rely on Government funding/grants" near the top of its community-pricing scale, as evidence of greater need. Strathfield weighs government funding as one factor in a capacity-to-pay test, never as an automatic switch. NSW Crown Lands, which by statute must charge market rent, rebates community groups all the way down to the statutory minimum and applies no grant test at all.

If part 2 passes, Shoalhaven will be doing something I could not find another NSW council doing. If you know of one, name it and I will publish the correction.

Questions

These are put to you on the public record, as any resident could put them at an ordinary meeting.

1. What counts as "State or Federal financial assistance/support"? Does one dollar trigger it? Is an NDIS payment — a fee for a service delivered to a participant — "financial support" to the organisation within the meaning of your motion?

1. Is there a threshold or a duration? If a group receives a one-off $5,000 grant in the first year of a five-year lease, does it pay commercial rent for the remaining four years after that money is spent?

1. Does part 2 apply to surf lifesaving clubs and to emergency services organisations, which POL25/49 places on statutory minimum rent and which are state-funded? If you intend a carve-out, where is it in the words of your motion?

1. Does it apply to preschools receiving NSW Start Strong funding?

1. Part 2 makes the policy change in the same breath as part 1 asks for the evidence. Why should the chamber legislate the conclusion before the report exists?

1. Have you modelled the effect on any single tenant? For any one organisation now on a subsidised or statutory-minimum agreement, what is the dollar difference between what it pays today and the commercial rate?

1. You voted to adopt POL25/49 on 16 December 2025 — MIN25.649, unanimously, without debate. That policy contains no funding test. What has changed in eight months, and what in it has failed?

1. Why is this being done by notice of motion rather than a policy review report with community consultation and advice on the effect on existing tenants?

1. Why is part 1 limited to organisations receiving state or federal support? Will you amend it to cover every subsidised tenancy in the city — including the pony club, the tennis clubs, the croquet clubs and the Berry craft gallery — and to publish the assessed market rent alongside the rent paid, so ratepayers can see the whole ledger rather than one column of it?

1. Can you name a single NSW council whose leasing policy makes receipt of government funding a trigger for commercial rent?

1. What is the intended fiscal outcome? How much does Council expect part 2 to raise, and over what period?

1. Where do you expect that money to come from inside an organisation that has none spare — from the organisation, or from the hours of service it stops delivering?

1. Will you give the community an undertaking that Noah's, the Nowra youth service and Safe Shelter are not the intended targets of part 2?

What I would support

Part 1, widened. Ask the Chief Executive Officer for the full tenancy ledger: every lease and licence, the rent paid, the assessed market rent, the subsidy category applied under

POL25/49, and the annual maintenance and repairs cost. All of it, for every tenant, published.

That is the number this whole debate has been missing. The Mayor told ABC listeners that community leases cost ratepayers about $1.9 million a year in subsidised rent and $4 million in maintenance. Those figures are not on the public record. Council's own Tenancy Register publishes the rent every tenant pays and never the market rent, so the subsidy — the thing under argument — cannot be checked by anyone outside the building. Produce the whole ledger and the argument can finally be had on evidence.

Do that, and I will say so in print as plainly as I have said the rest of this.

But please withdraw part 2, or split it out and bring it back as a proper policy review with consultation and a costing. As drafted, it tells every community organisation in the Shoalhaven that the fastest way to lose its rent subsidy is to succeed at getting funded. I do not believe that is what you intend. It is what the words do.

Yours sincerely,
Steve Prothero
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Note to councillors receiving a copy of this letter:
CL26.193 part 2 would put a clause in every new subsidised lease reverting the rent to a commercial rate the moment the tenant receives state or federal support. Under POL25/49 the commercial rate is the zero-subsidy line. It captures Noah's, the Nowra youth service, Safe Shelter, state-funded preschools and — read literally — surf lifesaving and emergency services organisations. It misses every recreational club on a peppercorn rent, because none of them is government funded.
Eleven NSW leasing policies across eight councils were checked. None does this. Coffs Harbour treats grant reliance as a reason to charge less, not more.
Part 2 also makes the policy change in the same motion that asks for the evidence, so the chamber would be voting before the report exists. The questions above can be put in the chamber, by amendment, question to the mover, or a Question on Notice. This publication will report whatever is asked and whatever is answered.
